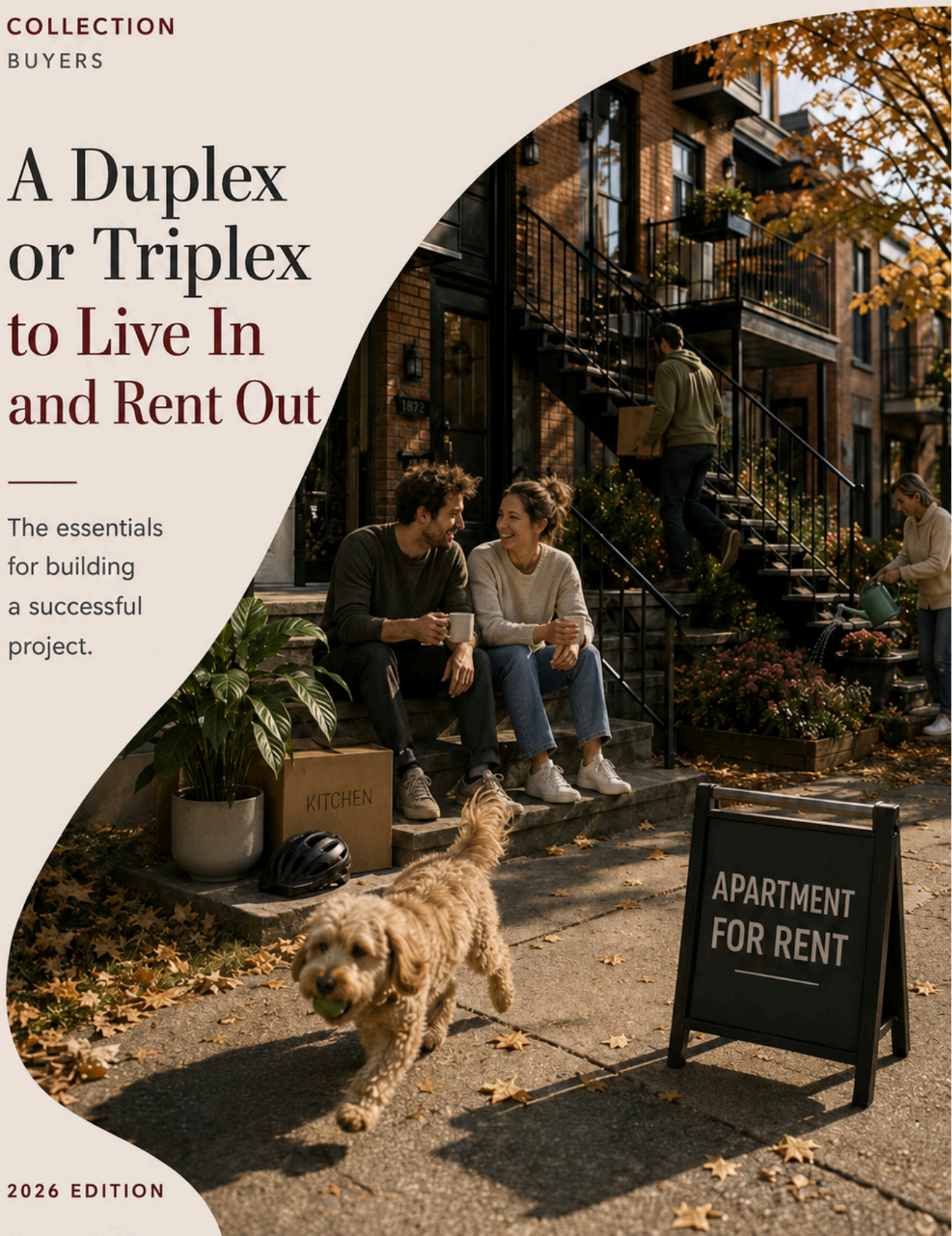


COLLECTION
BUYERS

A Duplex or Triplex to Live In and Rent Out

The essentials
for building
a successful
project.



BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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Buying a Duplex or Triplex to Live In and Rent Out · Collection Buyers · Guide No. 08 ·
2026 Edition

Buying a Duplex or Triplex to Live In and Rent Out

Become an owner-occupant while tenants help pay the mortgage

What if your first purchase provided accommodation AND generated income? The plex (duplex, triplex) allows you to live in one accommodation while the others, rented, reduce your real housing cost. It is one of the best springboards into real estate in Quebec.

This guide explains buying as an owner-occupier: the advantageous down payment, calculating the net cost, the responsibilities of an owner, and the pitfalls to avoid with existing tenants.

Each chapter ends with a lined “My notes” page to build YOUR plex project.

Living in one accommodation and renting others: the plex is a renowned springboard towards property and investment. This guide explains why it is so accessible (occupant financing), how to calculate its true net cost, and what it means to inherit tenants and leases.

Objective: buy a plex knowing both the financial advantages and the landlord responsibilities that come with it.

CHAPTER

Why plex is an ideal springboard

Understand owner-occupant logic.

By occupying one of the apartments, you benefit from residential purchase rules (reduced down payment for buildings with 1 to 4 apartments) while collecting rent. The result: your net housing cost may be significantly lower than that of an equivalent single-family home.

In the longer term, the plex constitutes an asset which increases in value, can be refinanced and can become the first block of a real estate portfolio.

The owner-occupied plex combines the best of both worlds: the advantageous residential financing rules (1 to 4 housing units) and rents that reduce your mortgage. It is often the most accessible gateway to real estate investment.

EMILIE'S ADVICE

The owner-occupied plex is often the smartest shortcut to property in Quebec: your tenants help repay your mortgage while you build your equity.

CHAPTER

Owner-occupant financing

Take advantage of the advantageous rules for 1 to 4 accommodations.

For a building with 1 to 4 units that you occupy, the minimum down payment is generally much lower than for a purely rental building (5+ units), and rental income can be partially taken into account in your borrowing capacity.

- 2026 Edition (to be confirmed): reduced down payment possible for an occupied plex of 1 to 4 housing units.
- A portion of the rent can help qualify your loan.
- Beyond 4 housing units (“commercial” income property), the rules change: higher down payment, profitability analysis.

A mortgage broker familiar with plexes will help you structure the most advantageous arrangement.

For a building with 1 to 4 units that you live in, the minimum down payment is significantly lower than for a purely rental building (5 units or more). The lender also takes into account a portion of the rent in your borrowing capacity - a powerful lever to validate with a mortgage broker.

EMILIE'S ADVICE

Always specify to the lender that you WILL OCCUPATE accommodation: it is this status which unlocks the best down payment conditions.

CHAPTER

Calculate actual net cost

Know how much your accommodation REALLY costs you.

The basic calculation: add up all the expenses of the building (mortgage, taxes, insurance, energy in the common areas, maintenance, reserve) then subtract the rent collected. What's left is your net housing cost.

Don't neglect any expense

- Maintenance reserve (roof, balconies, plumbing): a plex is aging over several dwellings.
- Vacancy: plan for periods without a tenant.
- Bad debts: a tenant who does not pay sometimes happens.

A good project remains viable even with a temporary vacancy and a major unforeseen event in the same year.

Calculate the real net cost: add up all expenses (mortgage, taxes, insurance, common energy, maintenance, reserve) then subtract the rent collected. It is this figure - not the displayed price - which tells you how much your accommodation REALLY costs you, often much less than an equivalent house.

EMILIE'S ADVICE

Build your calculation carefully: realistic rents, full expenses, and a margin for vacancy. A plex that only "holds" if everything is perfect is a fragile plex.

CHAPTER

Existing tenants and leases

Buying a plex also means inheriting its leases.

In Quebec, leases follow the building: by purchasing, you take over the tenants and their conditions (rent, duration). You can't just "start fresh." Analyze leases, current vs. market rents, and payment history.

If you wish to occupy accommodation currently rented, specific rules govern the resumption of accommodation (deadlines, notices, compensation, reasons). They are strict: find out before buying if you plan to evict a tenant.

Buying a plex means inheriting its leases: in Quebec, they follow the building. You take over the existing tenants and their conditions (rent, duration); you don't start "fresh". Review leases, rent and payment history BEFORE you offer.

EMILIE'S ADVICE

Never buy a plex assuming that you can easily "empty" a unit. Recovery and eviction are very regulated in Quebec; validate the scenario BEFORE the offer.

CHAPTER

Becoming an owner-lessor, concretely

Assume the role of daily manager.

- Maintenance and repairs: responsiveness and dedicated budget.
- Relations with tenants: clear communication, compliance with the rules.
- Fixing and increasing rents: regulated, to be done correctly.
- Record keeping: leases, receipts, expenses (also useful for taxes).

Being the owner-occupant of a plex is a small business. Well managed, it finances your home and builds your assets; poorly managed, it becomes a source of stress. The good news: you learn quickly, especially when you are well surrounded.

Becoming an owner-landlord is a role: responsive maintenance, clear communication, respect for increase rules and tenants' rights. Done well, it retains good tenants and protects your yield. Done poorly, it generates vacancy, conflicts and unforeseen costs.

EMILIE'S ADVICE

Treat your plex like a small business from day 1: files in order, expenses noted, professional communication with tenants. It pays off on a daily basis and on resale.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Define the number of targeted housing units and my occupancy housing unit.
2. Meet a mortgage broker used to plexes.

Within 30 days

1. Build my net cost calculation with realistic rents and expenses.
2. Analyze leases and occupancy scenario before offering.

Then

1. Make a conditional offer (inspection, financing, lease review).

Before buying my plex

1. Have my down payment and my capacity (rent included) validated by a mortgage broker.
2. Obtain leases, rental history and details of building expenses.

REFERENCES

Resources & glossary

- Owner-occupant: owner who lives in one of the dwellings in his building.
- Plex: building with 2 to 4 housing units (duplex, triplex, quadruplex).
- Net housing cost: total expenses minus rent collected.
- Resumption of accommodation: supervised procedure for occupying rented accommodation.
- Vacancy: period without tenant, to budget.
- Owner-occupant: owner who lives in one of the dwellings in his building.
- 1 to 4 dwellings: residential category, more advantageous financing.
- Net cost: total expenses of the building less rents collected.
- Lease: rental contract which follows the building upon sale.
- Administrative Housing Tribunal (TAL): body governing landlord-tenant relationships.

GO FURTHER

Quiz - test yourself

1. A plex owner-occupier mainly benefits from:

- A) Of no advantage
- B) Advantageous down payment rules (1 to 4 homes)
- C) Tax exemption
- D) Free rent

2. The net housing cost is calculated:

- A) Mortgage alone
- B) Total expenses minus rent collected
- C) Rents only
- D) Purchase price $\div$ 12

3. Beyond 4 housing units, the building is treated as:

- A) Standard residential
- B) Income property with different rules
- C) A condo
- D) A chalet

4. In Quebec, when purchasing a plex, the leases:

- A) Cancel each other
- B) Follow the building and you take over the tenants
- C) Need to be rewritten
- D) Disappear

5. To occupy accommodation that has already been rented, you must:

- A) Simply ask the tenant to leave
- B) Respect the strict rules for taking back housing
- C) Wait 10 years
- D) Nothing

6. A good plex project must include:

- A) Only if everything is perfect
- B) Even with a temporary vacancy and an unforeseen event
- C) Without any reservation
- D) Without tenants

7. Managing a plex means:

- A) Do nothing
- B) Managing a small business (maintenance, files, relationships)
- C) Only collect
- D) Prohibited on first purchase

8. A long-term advantage of plex is:

- A) No value
- B) An asset that increases in value and can launch a portfolio
- C) Tax exemption
- D) Guaranteed rents for life

Answers

- 1. **B** - Occupant status unlocks better conditions (chap. 2).
- 2. **B** - We subtract the rents from the expenses (chap. 3).
- 3. **B** - Higher capital outlay, profitability analysis (chap. 2).
- 4. **B** - Leases follow the building (chap. 4).
- 5. **B** - The recovery is very supervised (chap. 4).
- 6. **B** - We plan for vacancy and unforeseen events (chap. 3).
- 7. **B** - It's a small business to be taken seriously (chap. 5).
- 8. **B** - It is a heritage springboard (chap. 1).



**Make informed decisions.
Choose with confidence.
Move forward without regret.**

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